Capital One Commercial Banking

Attention:

Re:

Dear

In connection with the origination and underwriting of the above-referenced loan, Capital One Multifamily Finance obtained a certification from CoreLogic as to whether the above property, or portion thereof, is contained within a Special Flood Hazard Area (SFHA) as designated by the Federal Emergency Management Agency (FEMA). You are receiving this Notice because it has been determined that your property, or portion thereof, is located in a SFHA.

Capital One Multifamily Finance's insurance coordinator will be in contact with you with additional details regarding flood and other insurance requirements.

Federal law requires that you maintain flood insurance in an adequate amount for the life of your loan and acknowledge receipt of notice that your property is located within a SFHA. To satisfy the acknowledgment requirement, you will be provided a copy of the attached Notice again at loan closing which must be signed and dated acknowledging receipt of the Special Flood Hazard Area (SFHA) Status Notice.

In the meantime, if you have any questions about this matter, please contact Brian Skelly at 410-560-4611 or brian.skelly@capitalone.com.

Very truly yours,

CAPITAL ONE MULTIFAMILY FINANCE, LLC

NOTICE TO BORROWER
***IN* SPECIAL FLOOD HAZARD AREA**
NFIP NON-PARTICIPATING COMMUNITY

Borrower: Loan :

Property Location: This Notice Date is as of:

National Flood Insurance Program Community:

We are giving you this notice to inform you that the building or mobile home securing the loan for which you have applied is or will be located in an area with special flood hazards. The area has been identified by the Administrator of the Federal Emergency Management Agency (FEMA) as a Special Flood Hazard Area (SFHA) using FEMA's Flood Insurance Rate Map (FIRM) or the Flood Hazard Boundary Map (FHBM) for the community cited above. FIRMs and FHBMs are prepared by FEMA in cooperation with the applicable community to identify high flood risk and low-to-moderate flood risk areas. The SFHA has at least a one percent (1%) chance of a flood equal to or exceeding the base flood elevation (a 100-year flood) in any given year. During the life of a 30-year mortgage loan, the risk of a 100-year flood in an SFHA is 26 percent (26%).

Federal law allows a lender and borrower jointly to request the Administrator of FEMA to review the determination of whether the property securing the loan is located in a special flood hazard area. If you would like to make such a request, please contact us for further information. Borrowers may also call the FEMA Map Service Center at (877) 336-2627 to discuss their concerns regarding FEMA flood maps.

Flood insurance coverage under the NFIP is not available for the property securing the loan because the community in which the property is located does not participate in the NFIP. However, private flood insurance may be available on a limited basis in the SFHAs of non-participating communities. In addition, if the non-participating community has been identified for at least one year as containing a special flood hazard area, properties located in the community will not be eligible for Federal disaster relief assistance in the event of a Federally-declared flood disaster.

Additional Regulatory Requirements
Government guaranteed or insured loans (e.g., SBA, VA, and FHA loans) are not permitted to be made in non-participating communities if secured by structures in SFHAs. However, conventional loans may be able to be made on buildings or mobile homes in SFHAs of non-participating communities if authorized by the regulatory authority of the lending institution. These loans will be subject to mandatory flood insurance purchase requirements should the community become a participating community in the NFIP.

_____	_____
Borrower/Applicant Date	*Borrower/Applicant* Date
_____	_____
Borrower/Applicant Date	*Borrower/Applicant* Date
_____	_____
Borrower/Applicant Date	*Borrower/Applicant* Date